

Marketing culture to service climate: the influence of employee control and flexibility

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Abstract

Purpose – The purpose of this research is to explore how firm market orientation, as a culture, affects the service climate that develops in the firm.

Design/methodology/approach – Empirical testing is performed at the managerial level and boundary-spanning employee level as part of this multilevel study. The sample includes participants from a US-based firm operating in the hospitality industry.

Findings – Results indicate that a market-oriented firm culture interacts with other elements such as boundary-spanning employee flexibility and control to positively impact the service climate that develops.

Research limitations/implications – This research provides theoretical implications for the development of a service climate within a market-oriented firm culture and the influence of managers on boundary-spanning employees in the development of the climate.

Practical implications – As managers attempt to develop a service climate through a market-oriented firm culture, they will find success by providing boundary-spanning employees with control and hiring employees that possess flexibility as a personality trait.

Originality/value – The framework developed in this research provides insights regarding the multilevel nature of service climate development and the impact of a market-oriented culture.

Keywords Culture, Flexibility, Market orientation, Service climate, Boundary spanner

Paper type Research paper

An executive summary for managers and executive readers can be found at the end of this issue.

Introduction

Marketing continuously evolves. The early work of marketing focused on *product orientation* where the firm facilitated the transfer of ownership and distribution of goods (Achrol, 1991; Gummesson, 1991). Now, out of necessity, many firms have shifted to *market orientation* in their pursuit of improved firm performance by increasing the value that products deliver to consumers through a better understanding of their needs (Kumar *et al.*, 2011). As many markets become crowded with competition, it is increasingly important for firms to differentiate themselves from their competitors. Firms have done this by increasing the value they provide customers through the services they offer (Gebauer *et al.*, 2011; Karmarkar, 2004). Although the benefits of providing superior service are well understood (Day and Wensley, 1988; Zeithaml *et al.*, 1996), the mechanisms through which firms can achieve such service are not. We explore the mechanisms that facilitate superior service, and thus, a competitive advantage for firms. Specifically, we investigate constructs at two different levels within the firm (i.e. employee and manager) that have the potential to influence service climate.

First, we examine market orientation, which Slater and Narver (1995) define as a firm culture that places priority on customer value while also providing norms for behavior regarding firm development and responsiveness to market information. A market-oriented culture can benefit the firm as it pursues an advantage over competitors through service. Specifically, market-oriented firms aim to gain a competitive advantage by focusing their efforts on understanding customers and competitors, while also promoting the inter-functional coordination of firm resources (Narver and Slater, 1990). A firm's culture describes the norms and values that firm managers and employees believe are present, while the firm's climate illustrates how the firm operationalizes the culture in everyday behaviors (Deshpandé and Webster, 1989). If managers have successfully developed a culture within the firm, then a climate should be present to reinforce the values and beliefs of that culture. Boundary-spanning employees aim to project a climate of service to their customers through an enhanced understanding of their needs as developed under the market-oriented culture of the firm. Firm managers may look to develop a service climate because competing through service is increasingly important (Lusch *et al.*, 2007) as the firm continues to pursue a competitive advantage over a more traditional, product-oriented or less market-immersed firm.

At the employee level, we investigate the role that a specific personality characteristic, flexible disposition, plays in influencing service climate. In accordance with previous research, "personality (disposition) represents the innate characteristics of an individual" (Mechinda and Patterson, 2011 p. 102). A flexible disposition can be beneficial to the

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boundary-spanning employee in their interactions with customers and has been highlighted as important to successful adaptive selling (Spiro and Weitz, 1990). Employee flexibility may also influence the ability of the employee to provide adequate service to customers (Gwinner et al., 2005).

A firm's culture, and ultimately what is presented from managers to frontline employees, influences how customers will perceive the firm as a whole (Dean, 2004). The service climate permeates through all levels of the firm, including boundary-spanning employees and their exchanges with customers. By adopting a market orientation, a firm sends a message to frontline employees regarding the culture it is developing and the climate it expects them to provide to customers.

Purpose and gap

This research advances a framework to depict how a firm's market orientation affects the service climate felt by its customers. Specifically, we describe how firm culture, as created through market orientation, influences the service climate perceived by boundary-spanning employees. We also investigate how the flexible disposition of boundary-spanning employees contributes to the service climate at various levels of market orientation and employee control.

Recent research has called for additional investigation into the science of service (Ostrom et al., 2010) and factors that contribute to the development of a firm service climate (Bowen and Schneider, 2013; Schneider et al., 2013; Auh et al., 2011b). Predecessors to service climate such as perceived autonomy, the Big Five personality traits and a service worker's control have been explored in the literature (Auh et al., 2011a; Auh et al., 2011b; Yagil and Gal, 2002). However, no research has specifically investigated the link between market orientation and service climate. Thus, it is sensible to merge previous research regarding market orientation and the influence it has on profitability and workplace culture (Kumar et al., 2011; Kirka et al., 2005) with investigations of service climate.

Additionally, we aim to contribute to the service climate literature by exploring how the control granted to boundary-spanning employees by managers facilitates the service climate that is sought within the firm. Previous research links the performance of boundary-spanning employees to the control they have over their day-to-day operations and the time they dedicate to each of the tasks they need to complete (Challagalla and Shervani, 1996). More recently, research linked boundary-spanning employee control to management and firm culture (Patel and Conklin, 2010). In a market-oriented culture, the control that managers provide to employees should enrich the service climate of the firm, as employees may use the control they are given to provide a superior service climate to their customers.

Boundary-spanning employees may also have specific personality attributes that will influence the firm service climate, and research to identify these attributes is needed (Ostrom et al., 2010). This research investigates how one of these boundary-spanning employee attributes, flexible disposition, facilitates the service climate. Research widely recognizes that personal flexibility reflects the degree to which a person will engage in adaptive selling techniques (Spiro and

Weitz, 1990). By being flexible, boundary-spanning employees can tailor their services to each customer, providing them a greater level of service.

To fill the void in research, this study examines the link between a company's managerial culture, represented by market orientation and the climate felt by customers, in this case, a service climate. Additionally, we investigate the effect of boundary-spanner control and flexibility as possible facilitators of market orientation culture to service climate.

Literature review

Market orientation

Firms look to attain sustainable competitive advantages over competitors through developing a comprehensive understanding of the markets in which they compete (Day, 1994). In the pursuit of superior performance outcomes, market-oriented firms will use a three-component mix of customer orientation, competitor orientation and interfunctional coordination to achieve their goals (Narver and Slater, 1990). When implementing a market-oriented approach, the key to success is focusing on the customer's needs first (Beitelspacher et al., 2011; Deshpandé et al., 1993).

As previously described, a market orientation culture prioritizes customer value and establishes norms for utilizing market information (Slater and Narver 1995). Culture is "the pattern of shared values and beliefs that help members of an organization understand why things happen and thus teach them the behavioral norms in the organization" (Deshpandé and Webster, 1989, p. 4). A market-oriented culture is deeply rooted in employees, both managers and boundary spanners. The benefits of a market orientation are many (Javalgi et al., 2005; Chang and Chen, 1998), as employees and firms with a strong market orientation culture outperform those with weaker cultures (Van Egeren and O'Connor, 1998; Slater, 1997).

Gainer and Padanyi (2005) describe one of the strongest unions of market orientation and the culture it creates when they advocated that a market-oriented culture affects market vigilance and leads to action. When the culture that management establishes empowers boundary-spanning employees to act in a way that benefits the firm, they are doing so because of the climate that rewards them for this action. Climate refers to the behaviors that an employee perceives as being rewarded by the firm under the provided organizational structure (Schneider and Reichers, 1983). The results of adopting a market-oriented culture, as described by Gainer and Padanyi (2005), can be that boundary-spanning employees act in a manner that benefits and is rewarded by the firm.

Service climate

Strong organizational climates are associated with better performance from both managers and their subordinates (Pritchard and Karasick, 1973). Service climate, like any other climate, is something that permeates the workforce and is reflective of how employees perceive the firm as fulfilling their expectations (Deshpandé and Webster, 1989). Specific to service, when a firm has an organizational climate centered on providing services to customers, it is said to have a service climate (Schneider et al., 1992). Later, Schneider et al. (1998) further expanded upon a service climate to include employee perceptions of the practices, procedures and behaviors that are

expected, supported and rewarded with regard to customer service and customer service quality.

As previous studies document (Schneider *et al.*, 1998; Dietz *et al.*, 2004), the firm receives benefits from having a strong service climate. Specifically, boundary-spanning employees perform well in a strong service climate, as it encourages them to view customer care as a key part of their position within the firm (Schneider *et al.*, 2009) and has a positive impact on work engagement (Barnes and Collier, 2013). In their definition of service climate, Schneider *et al.* (1998) describe employee perceptions as the measurement of service. These perceptions dictate whether a firm can be said to have a strong or weak service climate and are the focus of later research that depicts service climate as an intangible resource (Ray *et al.*, 2004). It is difficult for firms to copy or imitate the service climate of another firm, and this may explain some of the benefits that firms receive as they work toward obtaining a competitive advantage through service.

Previous research regarding different types of climate identified that supervisors acting in the way that they want their employees to act led to higher employee recognition of that climate (e.g. safety climate) (Zohar and Luria, 2004). A similar connection is drawn between managerial input and boundary-spanner performance. Dietz *et al.* (2004, p. 81) argue that “when excellent service is an important theme in an organization, a positive service climate exists”. It is the employee’s perception of management’s desired actions that manifests as the service that customers receive. This being the case, service climate originates at the managerial level and, when it is communicated to boundary spanners, results in greater perceived customer service (Dietz *et al.*, 2004). In the current economy, it is vital that a company with a strong market orientation develop a compelling service climate as a way to differentiate their offerings from the competition and create a sustained competitive advantage.

Theory and research hypotheses

Service-dominant logic

Marketing for many firms has shifted from concentrating on the producer of goods to emphasizing the importance of the customer. Service-dominant logic reflects this change, and shifts attention to the service that, together with the goods, creates the value offering (Vargo and Lusch, 2004a). In this context, service is regarded as a perspective on value creation and not a category of offerings put forth to the market (Edvardsson *et al.*, 2005). Thus, goods provide a distribution mechanism for services required by consumers. Firms use resources to create value for customers through the services they provide via goods (Vargo and Lusch, 2004b). As service-dominant logic has matured, it has been refined to affirm that “goods (both durable and non-durable) derive their value through use – the service they provide” (Vargo and Lusch, 2008). Understanding that the exchange of goods inherently includes the services they provide is critical when applying a service-dominant logic framework to the firm.

Traditionally, it was thought that the firm should market to customers after performing an appropriate analysis of their needs and producing products for their consumption (Lusch *et al.*, 2007). Accordingly, traditional firms classify their customers as an operand resource, a resource upon which an

operation is performed to produce an effect (Constantin and Lusch, 1994). Service-dominant logic proposes that customers be reclassified as operant resources where the customer is a resource that is capable of acting upon other resources (Lusch *et al.*, 2007). In this respect, firms no longer *market to* customers but *market with* them through the co-production of value.

Market-oriented firms should inherently look to understand customer needs as this is a critical task in the value creation process (Deshpandé *et al.*, 1993). Service-dominant logic indicates that customers are focused on the service that goods provide them. As such, organizations may gain a competitive advantage by adopting a service orientation, regardless of the type of goods offered (Lusch *et al.*, 2007). As firms attempt to satisfy the service requirements of consumers, a service climate will develop. Managers will set forth practices and procedures to be implemented by boundary-spanning employees as they seek to fulfill their expected roles in the firm by providing customer service. Therefore, we hypothesize that:

- H1. The market-oriented culture of the firm will be positively associated with the service climate of the firm.

Control

The practices and procedures that managers set forth shape the way that boundary-spanning employees will interface with their customers. The distribution of control from manager to employees rests on a continuum, with complete control held by managers on one end and complete control held by employees on the other (Deci and Ryan, 1987). Prior research suggests that the customer–firm interaction is the key to value co-creation (Prahalad and Ramaswamy, 2004) and, by definition, takes place between the customer and a boundary spanner. When boundary spanners are given greater levels of control by their managers, they are increasingly empowered to treat every interaction differently, and tailor it to the customer. Prahalad and Ramaswamy (2004) go on to say that diverse co-creation experiences through heterogeneous interactions lead to a focus on innovating experiences and personalization of the co-creation experience. As such, the ability to service the customer with a desirable level of variety stems from the amount of control boundary spanners are provided by management.

Managers who maintain organizational control for themselves and dictate the actions of boundary spanners, restrict the ability of boundary-spanning employees to tailor their communications and interactions to each individual customer. Employees who are empowered to make their own decisions through tailoring the service they provide to each customer perceive service as important and strengthen the service climate (Schneider *et al.*, 1998). Reducing boundary-spanner control increases employee work strain (Varca, 2001) and limits their ability to satisfy customer requests. Many encounters between employees and customers may be seen as routine. However, true customer service lies with the employee’s response to unusual request, and employees who do not have enough control over their job to respond creatively may provide lower service (Varca, 2001). Allowing boundary spanners to use their discretion when

meeting the needs of the customer may positively influence both the customer response and how they grade the service encounter (Hartline and Ferrell, 1996).

A firm that adopts a market orientation and strives for a service climate will find that climate more difficult to implement if the actions of boundary-spanning employees are strictly controlled by management. One of the components of a market orientation, as defined by Narver and Slater (1990), is being customer oriented. Employees who have control of their actions are empowered to listen to customer needs, requests and ideas. A market-oriented firm is focused on customer value (Slater and Narver, 1995) which, according to service dominant logic, is manifested in the service provided. The service the customer receives becomes both what is measured and what is rewarded by the firm. In this way, a service climate develops; promoted by management, instilled in boundary spanners and felt by customers.

Therefore, we hypothesize that:

- H2. The positive association between market orientation and service climate is moderated by boundary spanner control such that when employees have greater control, the perceived service climate is stronger.

Flexibility

Previous research has centered on understanding the disposition of boundary-spanning employees (Mechinda and Patterson, 2011), as firms look to find individuals with characteristics that are most conducive to the interactive customer environment (Weitz, 1981). Understanding employee dispositions is useful as a disposition provides a “regular or expectable response to certain circumstances or occurrences (Hempel, 1960)” (Fridhandler, 1986 p. 171). However, past studies suffer from mixed success when attempting to link specific employee dispositions to behaviors. Spiro and Weitz (1990), in a departure from previous research, focused on the general personality traits that reflected an individual’s flexibility as an indicator of how boundary-spanning employees engage customers. Later research expanded on the ability of boundary spanners to improve performance by focusing on working smart. Boundary spanners that work smart engage in planning activities, utilize a variety of selling activities and retain the capacity to be functionally flexible (Sujan et al., 1994). The individual’s ability to employ a range of different behaviors, as required by a given interpersonal situation, defines their ability to be functionally flexible when interacting with customers (Sujan et al., 1994).

Prior research regarding boundary-spanning employees expressed flexibility as a fundamental employee disposition for success (Spiro and Weitz, 1990; Sujan et al., 1994). Further depth on the understanding of flexibility has come from studies such as Boorum et al. (1998) who researched the role of flexibility in communication. They stress that flexibility in communication can have an important impact on the boundary spanner’s interactions with customers and sales performance. Specific to the context of services, Gwinner et al. (2005) used employee personality predispositions related to flexibility in their study of adaptive service offerings. They found that employees with high flexibility are more adaptive in

their service offerings to customers. As firms attempt to differentiate themselves through the services they provide, employees who are flexible will be better prepared to satisfy firm requirements and provide the service climate they aim to develop. Therefore, we hypothesize that:

- H3. Boundary-spanner flexibility will be positively associated with the service climate of the firm.

Additionally, a robust firm culture should strengthen the individual’s ability to act upon their flexible disposition. Previous research has supported that a manager’s market orientation positively influences the market orientation of their employees (Lam et al., 2010). A market orientation focuses on learning about and satisfying customer needs (Slater and Narver, 1995), which should enhance the ability of boundary spanners with a flexible disposition to service their customers in the most suitable fashion. Individuals with high levels of flexibility who operate in an environment with a strategic market orientation will perceive an even higher level of service climate, as the market orientation in which they operate can lead them to actions that benefit and are rewarded by the firm (Gainer and Padanyi, 2005). Therefore, we hypothesize that:

- H4. The positive association between boundary spanner flexibility and service climate is moderated by market orientation such that when market orientation is greater, the perceived service climate is stronger.

However, we believe that the amount of control given to boundary-spanning employees by management will influence this association. Prior research indicates that boundary-spanning employees need flexibility to make decisions and satisfy the customer throughout their interaction, but that they also must be empowered with sufficient control from management to make those decisions quickly and independently (Hartline and Ferrell, 1996). A flexible employee does not further a service climate when they are not allowed to deviate from the directions they have been given by management. As we discussed earlier, a stronger perception of service is realized throughout the firm and the customer base when more control is granted to boundary spanners to service their clients. Less control provided to boundary spanners will limit their ability to service customers in creative ways (Varca 2001) and constrains their ability to provide customer value in their offerings.

When given greater control over their activities, a flexible disposition is utilized to whatever extent the individual boundary spanner possesses characteristic. Barrick and Mount (1993) propose that the validity of some personality predictors is moderated by the degree of control employees have over their job. Assuming that a flexible disposition is one such personality predictor, its validity would rise when the boundary spanner is given more control over their position and, specifically, over time, they interact with the customer. The combination of inherent flexibility and empowerment from management to make decisions allows boundary spanners to more effectively service the needs of their clients. Therefore, we hypothesize that:

H5. The amount of control a boundary-spanning employee is given intensifies the positive effect of market orientation on the relationship between boundary spanner flexibility and service climate.

A figure of our hypothesized relationships is shown in Figure 1.

Research methodology

The sample

The participants in this study work for a US-based firm operating in the hospitality industry. This firm provides business-to-business solutions to maintain the facilities of > 30,000 businesses across a broad range of hospitality settings. They provide equipment, chemicals, training, programs and certification for a number of important areas such as foodservice and sanitation. The company structure is typical where managers frequently interact with boundary-spanner subordinates. As such, managers are fully aware of the behaviors of subordinates.

Data for the study were collected from two sources:

- 1 written employee surveys; and
- 2 written manager surveys.

The boundary-spanning employees are service employees who interact with customers to provide solutions using company provided products and programs. The firm requires all employees to undergo extensive training. The boundary-spanning employees are compensated by a salary and bonus structure where individual performance heavily influences pay. All firm boundary-spanning service employees were solicited for participation in the survey. The total number of employees surveyed was 428, and 323 provided usable responses for a 75 per cent response rate.

Managers are responsible for employee selection, training and on the job development. Managers act as supervisors over

productivity where they are responsible for business results and manage employee relationships. Customer retention and satisfaction are also manager responsibilities. Additionally, managers train employees to follow company processes and procedures, as well as relevant laws. All firm managers were solicited for participation in the survey. Of the 80 managers surveyed, 75 provided usable responses for a 94 per cent response rate. Finally, manager and subordinate data were matched so cross-level relationships could be analyzed.

Demographics of the two samples, managers and employees, are provided here according to experience, gender and age. The mean age of managers in the firm is 42 years, while the mean employee age is 36 years. Males represent 68 per cent of the managers in the firm and 61 per cent of employees in the firm. Experience varies between managers and employees. Managers have a mean experience in the industry of 9.3 years, in sales 9.9 years and with the company 4.0 years. Employees have a mean experience in the industry of 9.6 years, in sales 11.5 years and with the company 3.2 years. The mean amount of experience for employees with their current manager is 2.3 years.

Measures

All four scales were Likert-type and adapted, when necessary, from previous multi-item scales found in the literature. Reliabilities, correlations and relevant psychometric properties are reported in Table I.

From the boundary-spanning employee, we collected information on service climate and flexibility. Service climate was assessed using six items based on the service climate scale developed by Schneider *et al.* (1998). A sample item is, “the job knowledge and skills of employees to deliver superior customer service are outstanding”. Boundary-spanning employee flexibility was assessed using four items based on Spiro and Weitz’s (1990) ADAPTS scale. Spiro and Weitz’s study emphasized the importance of boundary-spanning

Figure 1 Hypothesized model

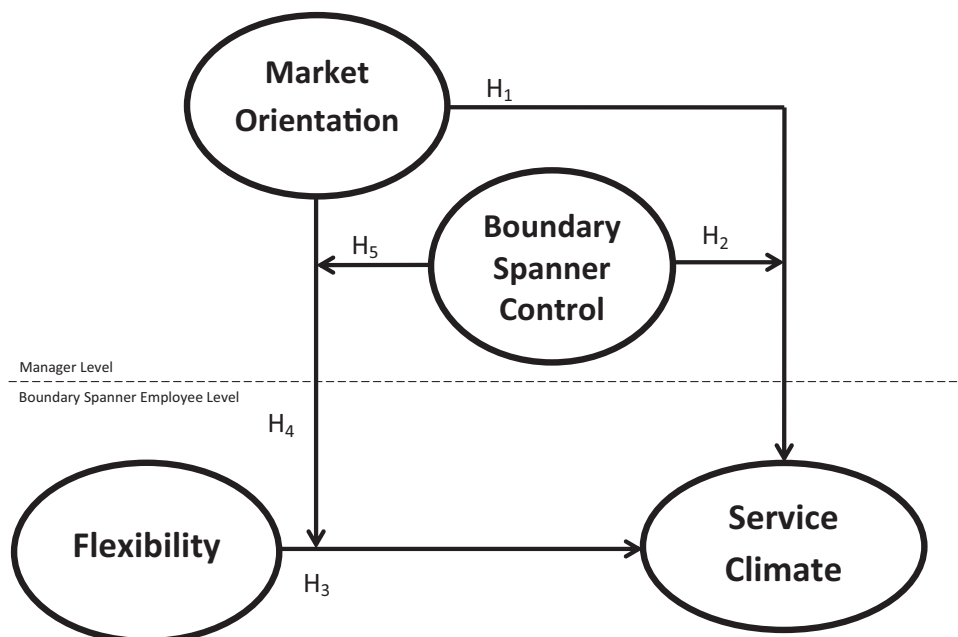


Table I Descriptive statistics, reliabilities and correlations of study variables

Serial number	Variable	Mean	SD	Reliability (α)	1	2	3	4
1	Market orientation	5.44	1.04	0.94	1			
2	Boundary-spanner control	3.91	0.92	0.71	−0.043	1		
3	Flexibility	5.77	1.04	0.84	0.047	−0.028	1	
4	Service climate	4.99	1.33	0.92	0.079	0.099	0.354	1

Notes: Sample size, $n = 75$, for market orientation and boundary-spanner control; Sample size, $n = 323$, for boundary-spanner flexibility and service climate

employee flexibility on their performance, and the items used from the scale measure employee flexibility. A sample item includes, “I believe each customer requires a unique approach”.

We collected information on the firm’s market orientation and the control afforded to boundary-spanning employees at the manager level. Firm market orientation was measured using 12 items based on the scale developed by Lam *et al.* (2010). A sample item includes, “I am always looking for new products and services”. The fourth construct, control, was measured using an adaptation of a scale developed by Noble (2008). The scale assesses the control provided by the manager to the employee. A sample item includes, “I allow my salespeople to decide how best to get the job done”. A list of the scale items is provided in Table II.

Analysis strategy

Our research model focuses on the interaction of manager level (e.g. market orientation and boundary-spanner control) and boundary-spanner employee-level factors (e.g. flexibility), as they influence the service climate perceived by the boundary-spanning employee. As mentioned, the data collected for the model were multilevel. Specifically, the independent variable (i.e. market orientation) and one of the moderating variables (i.e. control) were collected at the manager level (Level 2). All other variables (i.e. service climate and flexibility) were collected at the boundary-spanner level (Level 1). Thus, the most appropriate analytical procedure to empirically examine the cross-level relationships hypothesized is hierarchical linear modeling (HLM; Bryk and Raudenbush, 1992; Hofmann, 1997). We used HLM version 7.0, reporting both generalized least squares standard errors, as well as robust standard errors.

The HLM method of analysis is a two-stage strategy that investigates variables residing at two levels. First, Level 1 variables are estimated discretely for each Level 2 unit of analysis (i.e. each individual manager). The first-stage analysis provides intercept and slope terms estimated separately for each Level 1 unit (i.e. each boundary spanner). The first stage estimates are used as outcomes in Stage 2 of the analysis, which considers the degree to which Level 2 factors predict variance in the Level 1 intercepts and slopes.

As recommended by Enders and Tofghi (2007), we group mean centered our Level 2 variables to provide a more natural interpretation of the cross-level interaction effects. For our Level 2 interaction ($H2$), both terms were mean centered. A multiplicative term was created for importation into HLM to be treated as an antecedent to the service climate construct.

Table II Scale items

Market orientation (Lam *et al.*, 2010)

- M01** I am always looking for new products and services
- M02** I try to help develop the product and service offerings of our company
- M03** I consider innovative new products and services as a key component of success
- M04** I pay close attention to competitors’ activities
- M05** I keep a close eye on our competitors’ customer retention activities
- M06** I monitor exactly what special actions our competitors are doing
- M07** I think customer preferences are a key factor to the success of COMPANY NAME
- M08** I frequently survey customers to find out the products and services they would like to see in the future
- M09** The goals I set for my team members are mainly aiming at customer satisfaction
- M010** I try to figure out what a customer’s needs are
- M011** I have the customer’s best interests in mind
- M012** I think my team members are very market oriented

Boundary-spanner control (Noble, 2008)

- C1** I allow my salespeople to decide how best to get the job done
- C2** I provide my salespeople a great deal of autonomy to do their jobs
- C3** I want my salespeople to believe they are their own bosses when doing their jobs
- C4** In doing this job, the salespeople can make their own decisions

Flexibility (Spiro and Weitz, 1990)

- F1** I believe each customer requires a unique approach
- F2** When I feel that my sales approach is not working, I can easily change to another approach
- F3** I like to experiment with different sales approaches
- F4** I take a problem-solving approach in selling products or service to customers

Service climate (Schneider *et al.*, 1998)

- SC1** The job knowledge and skills of employees to deliver superior customer service are outstanding
- SC2** Efforts to measure and track the quality of service provided to customers are very strong
- SC3** The recognition and rewards employees receive for delivering superior service to customers are excellent
- SC4** The overall quality of the service provided is outstanding
- SC5** My manager provides strong support of efforts to provide superior customer service
- SC6** The overall climate for service in my territory is excellent

Tests of validity

Using hierarchical linear modeling does not allow us to demonstrate item loadings or overall model fit due to the lack of specific indices. The testing of model validities was done following the procedure utilized by Mathieu and Taylor (2006). Accordingly, a confirmatory factor analyses (CFA) was performed for both Level 1 and Level 2 data. Our CFA demonstrated strong fit indices [$\chi^2(109) = 364.401, p < 0.01$; CFI = 0.92; TLI = 0.91; RMSEA = 0.08]. Following Fornell and Larcker's (1981) approach, we assessed construct convergent and discriminant validity. Results suggested convergent and discriminant validity criteria were met by the measurement model. Convergent validity is strongly supported as the construct reliabilities all exceed 0.70 (Table I) and all indicators significantly load on their latent constructs ($p < 0.001$) (Gerbing and Anderson 1988).

Results

To begin our analysis, we examined the cross-level relationship of market orientation and service climate. Using HLM 7.0, we first formed a baseline model using the Level 1 variables (i.e. service climate and flexibility) and Level 2 variables (i.e. market orientation and control). This model demonstrates a positive, but nonsignificant, effect of market orientation on service climate ($\gamma = 0.08, ns$). Thus, we do not find support for *H1*. In addition, we observe significant variance still to be explained at Level 2 (ICC = 0.22), providing support for the further investigation into our hypothesized cross-level interactions.

For the next step, we investigated the cross-level interactive effects of control and flexibility on the influence of market orientation and service climate. To do this, the Level 2 variables (i.e. market orientation and control) were then added to the model to examine *H2*. This model did not indicate a significant moderating effect for boundary-spanner control on the relationship between market orientation and service climate ($\gamma = -0.20, ns$). Thus, we do not find support for *H2*.

Our initial baseline model did show positive effects for the of boundary-spanner flexibility on service climate ($\gamma = 0.47, p < 0.01$), providing support for *H3*. The Level 2 variable market orientation was also evaluated regarding the moderating influence it provides over boundary-spanner flexibility in the next step of our analysis. The model does provide support for *H4*, and the positive interactive influence of market orientation ($\gamma = 0.19, p < 0.01$).

Finally, we investigated the cross-level interactive effect of control, market orientation and flexibility as a test of *H5*. The Level 2 variables (i.e. market orientation and control) were then added with a three-way interaction mixed model of market orientation, control and flexibility. This model demonstrates a positive three-way interaction ($\gamma = 0.227, p < 0.05$) of the effects of market orientation, control and flexibility on service climate, which supports *H5*.

To assist with interpretation of the interaction relationship between flexibility and market orientation (*H4*), we used the method suggested by Preacher et al., (2006) for modeling cross-level interactions in multi-level modeling. Using the model results, we plotted the relationship between flexibility and service climate under varying levels of market orientation

(one standard deviation below and above the mean). These results appear in Figure 2, which depicts that a market-oriented culture increases the effect of flexibility on service climate.

Discussion and implications

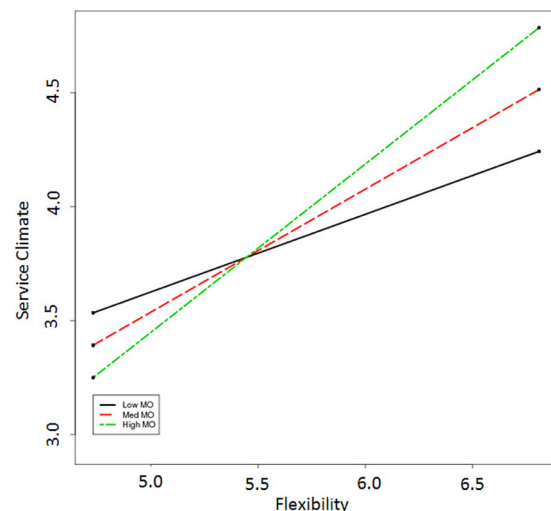
The presented research investigates firm service climate as part of a framework to explore how firms utilize service to differentiate themselves from competitors. First, we examined firm culture and the influence it has on the development of a service climate. Second, additional factors measured at both the manager and employee level were also considered as potentially shaping the service climate that develops within the firm. While our hypotheses do not support the direct influence of a market orientation culture on the service climate of the firm, we did find support for other factors that interact with market orientation to create a service climate.

Culture to climate

The results of our analysis do not support that market orientation alone is enough to create a service climate. Market-oriented firms perform better than their non-market-oriented counter parts (Slater 1997), but it seems that in the context of service, a market orientation alone does not account for an increased service climate. Employee adoption of a particular climate has been shown to be related to manager promotion of that climate through their actions (Zohar and Luria 2004). However, we do not find that management actions, as they pertain to a market-oriented culture, are directly influential in the service climate that develops.

We also investigated the positive moderating impact of boundary-spanner control, as provided by managers, over the relationship between market orientation and service climate. Previous research supports that control provided to boundary spanners can lead to increased performance (Challagalla and Shervani, 1996). Additionally, strengthening of the service climate also occurs when boundary spanners have the control to modify the services they provide to customers (Schneider et al., 1998). Our results indicate that this does not occur

Figure 2 Interaction plot flexibility and market orientation



through the strengthening of the direct impact market orientation has on the development of the service climate but manifests through an interaction with flexibility.

Flexibility

A flexible disposition is fundamental to the success of boundary spanners (Spiro and Weitz, 1990), and our findings offer further support regarding the influence it has on the development of the service climate perceived by employees. Highly flexible boundary spanners are more creative in their offerings to customers (Gwinner et al., 2005) and providing the services they require. The positive association between flexibility and service climate indicates that boundary-spanning employees with a flexible disposition are able to more easily engage the practices, procedures and behaviors that are supported by the firm regarding service and contribute to the service climate.

Although market orientation does not directly impact the service climate of the firm, our results support that the market-oriented culture has a moderating influence on the relationship between flexibility and service climate. Success for the market-oriented approach comes from focusing on customer needs (Deshpandé et al., 1993). Boundary-spanning employees with a flexible disposition are further empowered to provide increasingly valuable service to customers if the culture of the firm is centered on meeting customer demands via a market orientation. We agree with previous researchers that the personality of boundary-spanning employees is of substantive importance, with flexibility being fundamental to success (Sujan et al., 1994). Our contribution to previous research comes from connecting flexibility to the service climate of the firm and the conditions under which boundary-spanning employees are most successful in development of the service climate.

Furthermore, our framework indicates that boundary-spanner control contributes to the firm service climate as part of an interaction with market orientation and flexibility, see H5. Support for this three-way interaction demonstrates the complexity involved with the development of a service climate and the cross-level interaction between managers and boundary-spanning employees. Under the condition that managers provide adequate control to boundary-spanning employees to meet customer needs, the market oriented culture of the firm is associated with a service climate through enabling boundary-spanning employees to use their inherent flexibility to tailor their service offerings. The findings of the present research are the first attempts at such a complex understanding of service climate at multiple levels and through these moderating relationships.

Managerial implications

First, managers should recognize that the culture of the firm influences the climate that develops. In the context of service, a market orientation, as dictated by managers, is most successful when coupled with boundary-spanning employees who possess a flexible disposition. Therefore, the firm will benefit from training managers and hiring the right boundary-spanning employees. Specifically, the results indicate that managers must promote a market-oriented culture and provide control to boundary-spanner employees.

Thus, firms will need to work with managers to make sure they understand the ideas and concepts associated with a market-oriented firm and that they empower their employees with the control required to satisfy customer service needs as part of the strengthening of the service climate (Schneider et al., 1998).

For many years, researchers have investigated personality traits as important to the interactive customer environment (Weitz, 1981). However, building on the findings of previous researchers regarding the importance of flexibility, (Spiro and Weitz, 1990; Sujan et al., 1994) the results we present provide further clarity to the benefits of boundary-spanner flexibility. Managers may find it useful to evaluate employees regarding flexibility via an assessment of their personality to ensure they are matched with an appropriate position in the firm. Those individuals with higher flexibility are more likely to be successful in providing service to customers. This will be especially true for those employees provided adequate control from managers within the market oriented culture of the firm.

Limitations and opportunities for future research

First, our research underscores the complexity involved in the development of a service climate, as we find that more than just a market-oriented culture is required for a service climate to emerge. Although our results indicate that market orientation played a moderating role in service climate development, other firm cultures may impact service climate differently. Thus, evaluating the impact of varying firm cultures, and their impact on service climate, represents an avenue for future research.

Second, our survey of managers and employees is cross-sectional in nature, as all four measures were evaluated at only one point in time. A longitudinal study would provide the opportunity to assess how variations in firm culture and control impact the service climate that evolves relative to the time they take to develop. The inclusion of performance measures at the boundary-spanner level would also assist with determining the service quality provided under a specific service climate. In future research, some measures, like employee control, might be captured at both the manager and employee levels as the perception of employee control may vary depending on the viewpoint taken.

Finally, the methodology utilized relies on a self-administered survey, which we realize may cause concern regarding reporting bias from participants. The benefit of our survey approach is that it allowed us to obtain multilevel responses from both managers and their employees. The insights from this multilevel survey add to the contribution of our research. However, future investigations would benefit from a multiple method approach, which can provide further confirmation of the results.

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